Contents

AMIS MARKET MONITOR

No. 52 – October 2017

Roundup

This month's revisions largely concern production and stocks forecasts although the overall supply and demand prospects for the four AMIS crops in 2017/18 remain broadly in line with earlier projections, with supplies at the global level still more than adequate to meet the anticipated world demand. While recent movements in international prices of the four crops portray a mixed picture, they reflect normal seasonal patterns expected for this time of the year. Looking forward, the final size of the forthcoming maize crop in the US will factor heavily on international maize prices. As the season progresses, the eventual size of plantings (winter wheat and secondary rice in the northern hemisphere along with maize and soybeans in South America) will also influence price developments.

Markets at a glance

	From previous forecast	From previous season
Wheat	▬	▲
Maize	▲	▲
Rice	▼	▬
Soybeans	▼	▼

▲ Easing ▬ Neutral ▼ Tightening

The **Market Monitor** is a product of the Agricultural Market Information System (AMIS). It covers international markets for wheat, maize, rice and soybeans, giving a synopsis of major market developments and the policy and other market drivers behind them. The analysis is a collective assessment of the market situation and outlook by the eleven international organizations and entities that form the AMIS Secretariat.
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World supply-demand outlook

- **Wheat** production forecast for 2017 raised this month on bigger harvests in several countries, in particular in the Russian Federation and EU.
- Utilization in 2017/18 expected to expand at a slower pace, mostly on lower feed use of wheat because of large supplies of cheaper coarse grains.
- Trade in 2017/18 (July/June) to remain close to the 2016/17 all-time high, underpinned by ample export availabilities, especially in the Russian Federation.
- Stocks (ending in 2018) lowered slightly from last month but still a record and well above their opening levels with the largest year-on-year increase in China.

in million tonnes

WHEAT	FAO-AMIS 2016/17 est.	FAO-AMIS 2017/18 f'cast 7-Sep	FAO-AMIS 2017/18 f'cast 5-Oct	USDA 2016/17 est.	USDA 2017/18 f'cast 12-Sep	IGC 2016/17 est.	IGC 2017/18 f'cast 28-Sep
Production	759.6	748.8	750.1	753.3	744.9	754.1	747.6
Supply	982.0	996.0	996.4	994.5	1,000.7	977.7	989.3
Utilization	732.4	730.9	734.3	738.7	737.5	736.0	741.5
Trade	175.8	174.7	174.7	181.7	180.0	175.7	174.0
Stocks	246.3	261.9	261.2	255.8	263.1	241.7	247.8

- **Maize** production in 2017 heading for a record with the latest forecast higher than last month largely on improved yield prospects in China and the US.
- Utilization in 2017/18 lowered but still growing by 2.5 percent year-on-year, supported by firmer demand for feed and industrial use.
- Trade in 2017/18 (July/June) lowered but still forecast to expand, driven by brisk world demand and large export supplies.
- Stocks forecast (ending in 2018) raised largely on higher inventories in the US and historical revisions to carryovers in Japan.

in million tonnes

MAIZE	FAO-AMIS 2016/17 est.	FAO-AMIS 2017/18 f'cast 7-Sep	FAO-AMIS 2017/18 f'cast 5-Oct	USDA 2016/17 est	USDA 2017/18 f'cast 12-Sep	IGC 2016/17 est.	IGC 2017/18 f'cast 28-Sep
Production	1,039.2	1,062.9	1,064.5	1,071.2	1,032.6	1,078.9	1,029.1
Supply	1,264.3	1,298.0	1,300.1	1,285.1	1,259.6	1,288.4	1,266.0
Utilization	1,029.6	1,057.2	1,055.2	1,058.1	1,057.1	1,051.4	1,057.8
Trade	138.4	144.3	143.0	165.3	150.6	138.0	147.5
Stocks	235.6	233.3	236.6	227.0	202.5	237.0	208.2

- **Rice** production downscaled, mainly on deteriorated prospects for Bangladesh, India, Nepal and Viet Nam.
- Utilization in 2017/18 revised down, but still expected to rise modestly y/y owing to expanding food use.
- Trade in 2018 raised slightly, on higher expected imports by several countries in Asia and Africa.
- Stocks (ending in 2018) lowered following historical revisions to inventories in China, as well as downward adjustments to carry-over forecasts mostly for Bangladesh, Indonesia and Myanmar.

in million tonnes

RICE *(milled)*	FAO-AMIS 2016/17 est.	FAO-AMIS 2017/18 f'cast 7-Sep	FAO-AMIS 2017/18 f'cast 5-Oct	USDA 2016/17 est.	USDA 2017/18 f'cast 12-Sep	IGC 2016/17 est.	IGC 2017/18 f'cast 28-Sep
Production	501.0	503.4	500.7	486.4	483.4	484.7	482.7
Supply	667.5	674.1	669.3	602.8	603.7	604.3	603.1
Utilization	497.8	506.5	502.9	482.5	480.2	484.0	486.2
Trade	44.7	44.8	45.2	44.6	44.2	42.8	43.1
Stocks	168.5	171.2	169.5	120.3	123.5	120.4	116.9

- **Soybean** 2017/18 production lowered slightly, with downward corrections in Argentina, Ukraine and Canada only partially offset by gains in the US.
- Utilization in 2017/18 raised somewhat on higher forecasts for a number of developing countries across the globe.
- Trade in 2017/18 adjusted upward mostly on higher than earlier anticipated import demand in Asia and Africa; export forecasts have been lifted for Brazil and the US.
- Stocks (2017/18 carry-out) revised downward significantly, mainly reflecting lower forecasts for Brazil and, to a lesser extent, Argentina and China.

in million tonnes

SOYBEANS	FAO-AMIS 2016/17 est.	FAO-AMIS 2017/18 f'cast 7-Sep	FAO-AMIS 2017/18 f'cast 5-Oct	USDA 2016/17 est.	USDA 2017/18 f'cast 12-Sep	IGC 2016/17 est.	IGC 2017/18 f'cast 28-Sep
Production	348.9	347.6	346.4	351.4	348.4	350.5	348.4
Supply	393.5	402.0	399.1	429.2	444.4	382.2	393.0
Utilization	339.3	347.4	350.4	329.8	344.3	337.8	351.0
Trade	146.3	150.3	151.9	146.3	151.4	144.0	149.5
Stocks	52.7	52.8	48.7	96.0	97.5	44.5	42.0

FAO-AMIS monthly forecast

To review and compare data, by country and commodity, across the three main sources, go to:
http://statistics.amis-outlook.org/data/index.html#COMPARE

Estimates and forecasts may differ across sources for many reasons, including different methodologies. ***For more information see Explanatory notes on the last page of this report.***

Summary of revisions to FAO-AMIS monthly forecasts for 2017/18

in thousand tonnes

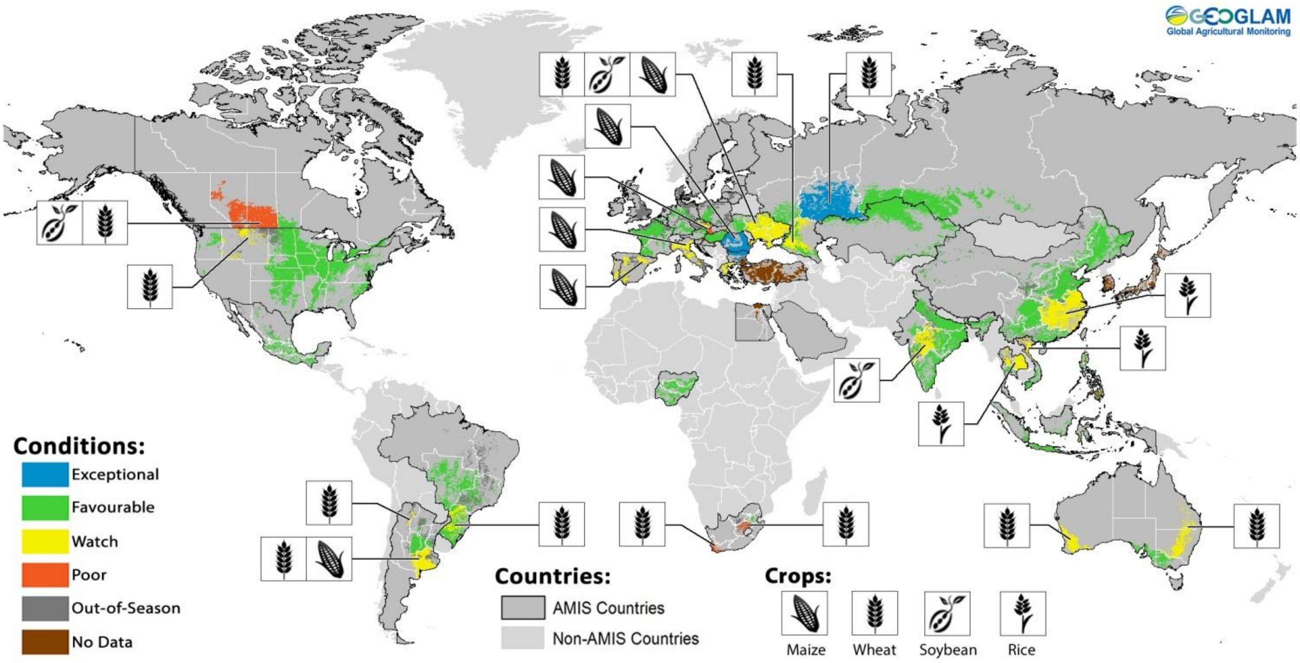
	WHEAT					MAIZE				
	Production	Imports	Utilization	Exports	Stocks	Production	Imports	Utilization	Exports	Stocks
WORLD	***1359***	***-***	***3378***	***2***	***-699***	***1550***	***-1294***	***-1957***	***-1332***	***3244***
Total AMIS	***1396***	***400***	***3614***	***2***	***-189***	***962***	***-1199***	***-1923***	***-1332***	***2317***
Argentina	-	-	200	-	-700	670	-	670	-	-
Australia	-2579	-	720	-2284	-968	-40	1	-53	-32	-
Brazil	-	-	-139	-	-411	-	-	-300	-	-500
Canada	-170	-	695	-	300	71	-	71	-	150
China Mainland	-	-	-398	-	708	1000	500	985	-	25
Egypt	-	-	-	-	-	-	-1300	-1000	-	-300
EU	1000	-	500	-	500	-	-400	-	-	-
India	-	-	-	-	-	-	-	-	-	-
Indonesia	-	-	-	-	-	-	-	-	-	-
Japan	-	-	-64	-14	993	-	-	-62	-	1055
Kazakhstan	-	-	-	-	-	-	-	-	-	-
Mexico	-	-	-	-	-	-	-	-	-	-
Nigeria	-	-	-	-	-	-	-	-	-	-
Philippines	-	-	-	-	-	-	-	-	-	-
Rep. of Korea	-	-	-	-	-	-	-	-	-	-
Russian Fed.	3000	-	2000	1000	-	-1000	-	-1000	-	-
Saudi Arabia	-	-	-	-	-	-	-	-	-	-
South Africa	-	-	-	-	-	331	-	37	-	294
Thailand	-	-	-	-	-	-	-	-	-	-
Turkey	-	-	-	-	-	-	-	-	-	-
Ukraine	145	-	-	1000	-911	-870	-	-	-1300	30
US	-	-	-	300	-	800	-	-1271	-	1563
Viet Nam	-	400	100	-	300	-	-	-	-	-

	RICE					SOYBEANS				
	Production	Imports	Utilization	Exports	Stocks	Production	Imports	Utilization	Exports	Stocks
WORLD	***-2666***	***437***	***-3602***	***446***	***-1741***	***-1410***	***1650***	***2463***	***1602***	***-4075***
Total AMIS	***-1519***	***315***	***-2871***	***276***	***-840***	***-1410***	***1020***	***2232***	***1712***	***-3928***
Argentina	-	-	-	-30	-	-2000	-100	350	-700	-600
Australia	-14	-	6	40	55	-	-	-	-	-
Brazil	1	-	51	100	50		-	500	1150	-2967
Canada	-	-	-15	-	20	-282	-	-67	250	-25
China Mainland	156	-100	-1904	250	-500	-	600	800	100	-300
Egypt	-	-	-	-	-	-	300	380	-	20
EU	48	-	33	-	-	-	-	-	-	-
India	-1140	-	-820	-	-	-100	-	-100	-	-
Indonesia	-	250	-100	-	-200	-	400	280	-	20
Japan	-	-	-	-	-	-	-	-	-	-
Kazakhstan	-	-	-	-	-	-	-	-	-	-
Mexico	-	-	-	-	-	-	-	300	-	-
Nigeria	-	150	140	-	-	-	-	-	-	-
Philippines	-20	-	-20	-	-	-	100	100	-	-
Rep. of Korea	-37	-	-28	16	-40	-	-180	-190	-	-30
Russian Fed.	-	-	-	-	-	-	-	20	-	-40
Saudi Arabia	-	90	25	-	-20	-	-	-	-	-
South Africa	-	-	30	-	10	-	100	36	-20	84
Thailand	-	-20	-70	-	-	-	100	70	-	30
Turkey	-	-5	-	-	-	-	-100	217	-27	10
Ukraine	-	-	-	-	-	-388	-	-360	159	-140
US	-214	-	-80	-100	-35	1360	-	10	800	-10
Viet Nam	-299	-50	-119	-	-180	-	-200	-114	-	20

Numbers shown refer to changes in forecasts (in thousand tonnes) since the previous report.

Crop monitor

Crop conditions in AMIS countries (as of 28 September)



Crop condition map synthesizing information for all four AMIS crops as of 28 September. Crop conditions over the main growing areas for wheat, maize, rice, and soybean are based on a combination of national and regional crop analyst inputs along with earth observation data. ***Only crops that are in other-than-favourable conditions are displayed on the map with their crop symbol.***

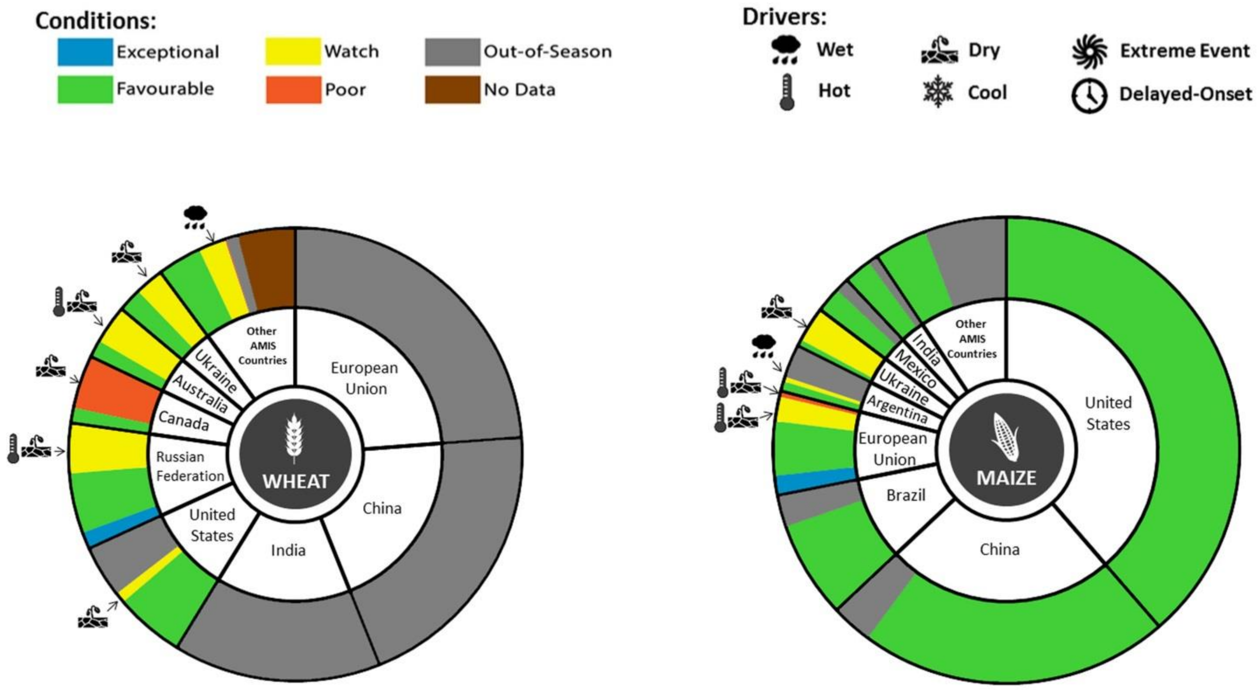
Conditions at a glance

Wheat - In the northern hemisphere, conditions remain mixed as spring wheat harvest continues, and winter wheat sowing begins. For spring wheat, harvest in the Russian Federation is above average while in Canada the crop has been affected by dry weather. In the southern hemisphere, conditions remain mixed with adverse weather affecting all major producers.

Maize - In the northern hemisphere conditions remain generally favourable heading into the harvest, albeit with some areas of concern in the EU and Ukraine due to dry weather. In the southern hemisphere, sowing of the new season began in Argentina and Brazil.

Rice – In Asia, conditions remain mixed as heavy rainfall affects areas in the north of Viet Nam, northern Thailand, and parts of China. Conditions remain favourable in India, Indonesia and the Philippines.

Soybean - In the northern hemisphere, conditions are generally favourable with an increase in expected production this year for the US and Canada. In the southern hemisphere, Brazil sowing has begun.

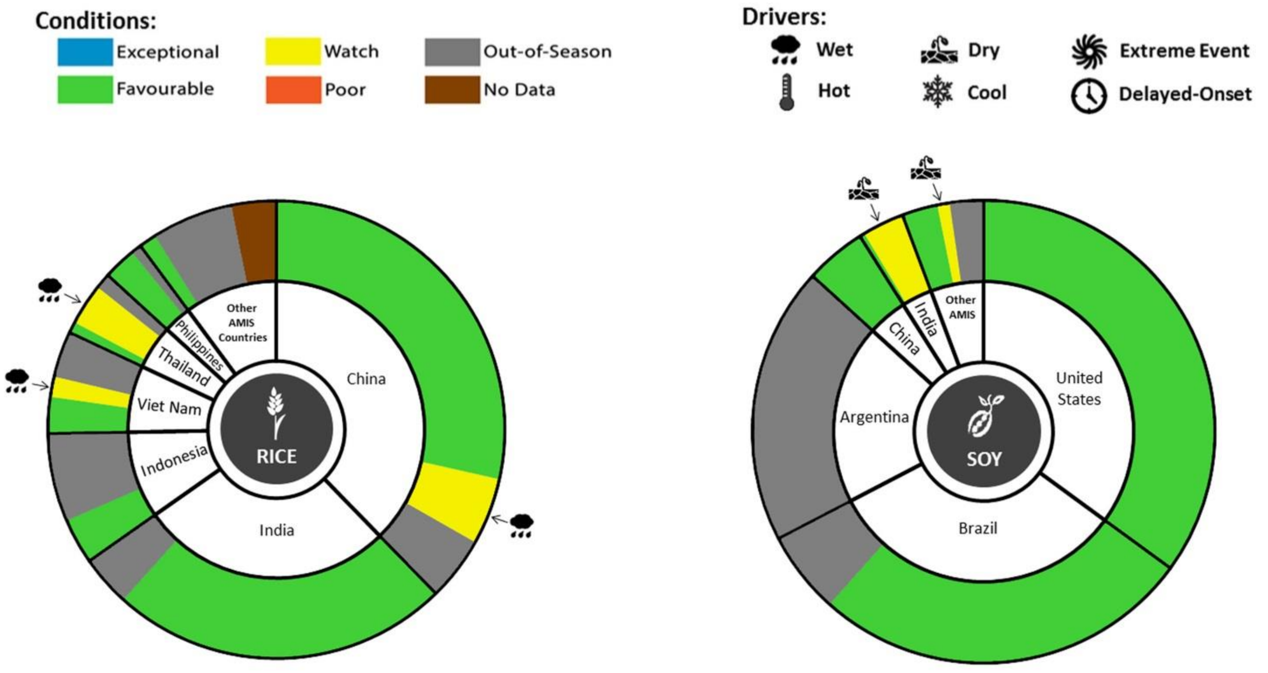


Wheat

In the **Russian Federation**, spring wheat harvest is wrapping up under favourable conditions, albeit some delays due to a cooler season. Winter wheat sowing is ongoing under generally favourable conditions except in the south due to hot dry weather. In **Ukraine**, sowing of winter wheat has begun under mixed conditions due to the continued drought in the southern and eastern regions. In **Kazakhstan**, conditions are favourable for spring wheat with yields expected below last year's level, however still above the 5-year average. In the **US**, sowing of winter wheat began under generally favourable conditions with some dryness persisting in the northern plains. In **Canada**, harvest of winter wheat completed under favourable conditions. Spring wheat harvest continues under poor conditions with yields expected to be well below average due to dry conditions throughout the season in the prairies. In **Australia**, conditions remain favourable across most southern states. Western Australia has seen some improvement with recent average to above average rainfall, however unseasonable hot dry conditions during September are likely to further reduce yield prospects in New South Wales and Queensland. In **Argentina**, sowing is complete and conditions are generally favourable. Continued rainfall and flooding in the south reduced planted area and will potentially impact crop development.

Maize

In the **US**, conditions are favourable as harvest begins in southern states. In **Canada**, conditions are favourable and production is expected to be slightly higher than last year due to an increase in area and favourable yields. In **Mexico**, sowing is completed under favourable conditions for the spring-planted crop. In the **EU**, conditions improved slightly on better prospects in France and Romania more than offsetting worsening drought conditions in southern Europe. In **Ukraine**, harvest begins as conditions continue to be less than favourable due to low soil moisture in the southern, central, and eastern regions. In **China**, spring and summer maize are both under favourable conditions with slightly above average conditions in the main producing regions. In **India**, harvest has begun for the Kharif crop under favourable conditions. In **Brazil**, summer planted maize harvest is complete with an increase in production resulting from higher planted area planted area and productivity gains. Sowing of spring-planted maize began in the southern region. Some crops are already at the stage of vegetative development. In **Argentina**, sowing began under favourable conditions in the center of the country with delays in the south due to flooding.



Rice

In **China**, conditions are favourable for single-season rice and semi-late rice currently in the ripening stage. Late-rice is under mixed conditions due to high rainfall and insufficient solar radiation required for development in the lower Yangtze region. In **India**, conditions are favourable for the Kharif crop as harvest begins in the north and central regions. In **Indonesia**, conditions continue to be favourable as harvest of dry-season rice is at its peak and planting is almost finished. Higher yields are expected due to favourable weather conditions over the last three months. In **Viet Nam**, conditions in the north are mixed with an increase in planted area compared to last year, with only minor losses from flooding earlier in the season. While in the south, harvest of wet-season rice continues under favourable conditions with yields slightly below last year. In **Thailand**, conditions are mixed due to two tropical storms earlier in the season that impacted the northern part of the country, resulting in flood damage and disease outbreaks. In the **Philippines**, conditions are favourable for wet-season rice planted July-August currently in tillering stage. Earlier planted wet-season rice completed harvesting under favourable conditions. In the **US**, harvest is well underway with a good crop expected.

Soybeans

In the **US**, conditions are favourable with a rise in expected production due to an increase in planted area and higher expected yields. In **Canada**, conditions are generally favourable as harvest begins. A record crop is expected, primarily due to a large increase in planted area. In **China**, conditions are favourable as the crop is in the ripening stage. In **India**, conditions are generally favourable for the Kharif crop heading into the harvest with the exception of Madhya Pradesh, where some late August dryness will potentially affect final yields. In **Ukraine**, harvest continues as conditions remain slightly below favourable due to low soil moisture in the southern, central, and eastern regions. In **Brazil**, sowing has begun under favourable conditions. However Improvements in soil moisture conditions are expected to intensify planting.

Information on crop conditions in non-AMIS countries can be found in the [GEOGLAM Early Warning Crop Monitor](), published 5 October 2017

Pie chart description: *Each slice represents a country's share of total AMIS production (5-year average), with the main producing countries (90 percent of production) shown individually and the remaining 10 percent grouped into the "Other AMIS Countries" category. Sections within each country are weighted by the sub-national production statistics (5-year average) of the respective country and accounts for multiple cropping seasons (i.e. spring and winter wheat).*

The late vegetative through to reproductive crop growth stages are generally the most sensitive periods for crop development.

Sources and Disclaimers: The Crop Monitor assessment is conducted by GEOGLAM with inputs from the following partners (in alphabetical order): Argentina (Buenos Aires Grains Exchange, INTA), Asia Rice Countries (AFSIS, ASEAN+3 & Asia RiCE), Australia (ABARES & CSIRO), Brazil (CONAB & INPE), Canada (AAFC), China (CAS), EU (EC JRC MARS), Indonesia (LAPAN & MOA), International (CIMMYT, FAO, IFPRI & IRRI), Japan (JAXA), Mexico (SIAP), Russian Federation (IKI), South Africa (ARC & GeoTerraImage & SANSA), Thailand (GISTDA & OAE), Ukraine (NASU-NSAU & UHMC), USA (NASA, UMD, USGS – FEWS NET, USDA (FAS, NASS)), Viet Nam (VAST & VIMHE-MARD). The findings and conclusions in this joint multiagency report are consensual statements from the GEOGLAM experts, and do not necessarily reflect those of the individual agencies represented by these experts.
More detailed information on the GEOGLAM crop assessments is available at www.geoglam-crop-monitor.org

Policy developments

Wheat

- On 8 September, **South Africa** decreased its wheat import tariff by 60 percent to ZAR 379.34 (USD 28.74) per tonne. The wheat tariff is calculated with a formula based on a reference price set by the international Trade Administration Commission of South Africa (ITAC), which was estimated at USD 279 per tonne in June 2017.
- On 6 September, **Japan** announced that from October the price of imported wheat for millers would increase to JPY 52 510 (USD 482) per tonne, 3.6 percent above the previous six-month period. The increase reflects the rise in fob prices of wheat from the US and Australia (Japan's main suppliers of milling wheat) as well as higher freight rates and a weaker yen.

Rice

- As from 1 September, the government of **Indonesia** implemented a ceiling price for medium and premium quality rice. The MRP of medium quality rice should be set at around INR 9450-10250 per kg (USD 709-770 per tonne) and the MRP for premium quality rice at around INR 12 800-13 600 per kg (USD 960-1020 per tonne).

Across the board

- The Ministry of Agriculture of **Brazil** announced a BRL 100 million (USD 32 Million) plan to support wheat and rice marketing. The price support mechanisms are activated when the prices of grains are below a certain level (currently BRL 34.97 per 50 kg – USD 234 per tonne).
- On 22 September, at the request of the United States, a WTO panel was established to review **China** tariff quota administration for wheat, rice and maize. Among the G20 AMIS participants, Australia, Brazil, Canada, EU, Indonesia, Japan, Kazakhstan, Republic of Korea, Russian Federation and Vietnam will participate in the proceedings as third parties.
- Effective from 1 October 2017 and until 30 June 2018, the state-owned **Russian** Railways will apply a 10.3 percent discount to transportation charges for export shipments from twelve regions when grain (including wheat, rye, oats, barley, maize, rice, buckwheat, broad beans, peas, common beans) is transported through the Russian ports.
- On 1 September, **Viet Nam** announced the resumption of imports of Distiller's Dried Grains(DDGs). Imports of DDGs have been suspended since December 2016.

Biofuels

- As of 20 September, the **EU** will lower the anti-dumping duties applied on Argentine biodiesel to between 4.5 percent and 8.1 percent.
- On 13 September, **China** announced its plan to boost the nationwide use of maize-based biofuel production. One aim of the measure is to reduce the country's large maize stockpile.

STOP PRESS

- On 31 August, **Egypt** announced that, effective from 3 October, wheat shipments with a moisture level of up to 13.5 percent will be allowed for a nine-month period. Previously, the permissible moisture level was at 13 percent.
- On 31 August, **Kazakhstan** announced the procurement prices for the 2017 grains. The price for wheat 3rd grade ranges from KZT 42 000 (USD 124) to KZT 54 000 (USD 160) per tonne, against KZT 41 000 (USD 121) to KZT 50 000 (USD 148) in 2016. Prices for wheat 4th grade vary from KZT 37 000 (USD 109) to KZT 39 000 (USD 115) per tonne, while in 2016 it was purchased at KZT 34 000 (USD 100) to KZT 36 000 (USD 106) per tonne. The procurement price for barley was set at KZT 40 000 (USD 118) per tonne for volumes up to 1 000 tonnes and KZT 41 000 (USD 121) per tonne for volumes over 1 000 tonnes, after remaining unchanged in the past two years at KZT 25 000 (USD 74) per tonne. All prices are inclusive of VAT.
- On 31 August, the **Russian Federation** approved new prices for grain purchasing interventions in 2017/18 marketing year. It set the price for 1-grade soft milling wheat at RUR 12 500 (USD 216) per tonne, 2-grade wheat - RUR 11 500 (USD 199) per tonne, 3-grade wheat – RUR 10 300 (USD 178 per tonne); 4-grade wheat – RUR 9 000 (USD 156) per tonne, 5-grade wheat – RUR 7 600 (USD 132) per tonne.

AMIS Policy database

Visit the AMIS Policy database at: http://statistics.amis-outlook.org/policy/

*The **AMIS Policy database** gathers information on trade measures and domestic measures related to the four AMIS crops (wheat, maize, rice, and soybeans) as well as biofuels. The design of this database allows comparisons across countries, across commodities and across policies for selected periods of time.*

International prices

International Grains Council (IGC) Grains and Oilseeds Index (GOI) and GOI sub-Indices

	Sep 2017 Average*	% Change	
		M/M	Y/Y
GOI	194	+1.0%	+0.6%
Wheat	176	-0.8%	+12.4%
Maize	164	-0.8%	-9.6%
Rice	167	+1.7%	+10.8%
Soybeans	193	+2.1%	-5.5%

*Jan 2000=100, derived from daily export quotations

Wheat

While the IGC GOI wheat sub-Index averaged 1 percent lower m/m, wheat export markets had a stronger tone as the month progressed, with the index reaching a seven-week high late in the month. Pressure continued to come from exceptional harvest results in the Russia Federation as well as signs that Canada's crop would be better than expected. However, with northern hemisphere combining in the final stages market participants increasingly focused on less than ideal growing conditions in Australia and Argentina, which contributed to a mid-month upturn in values. Temporary disruptions at US Gulf ports caused by stormy weather added support at times. While there was sustained uncertainty about logistical capacity, Black Sea shipments made strong progress and this helped to buoy export values in that region. Despite worries about sluggish export sales to date, EU export prices were seasonally firmer as harvesting concluded.

Maize

World maize markets eased slightly in September, the IGC GOI maize sub-Index down by an average 1 percent m/m, amid light northern hemisphere seasonal pressure and stiff global export competition. Despite support from occasional logistical difficulties at the Gulf, US prices edged lower as the harvest gathered pace, with anecdotal reports mostly confirming expectations for strong yields. While early results from the Black Sea were slightly disappointing, quotations there also softened during the past month. South American values were broadly unchanged, with shipments from Argentina still priced at a discount to other origins.

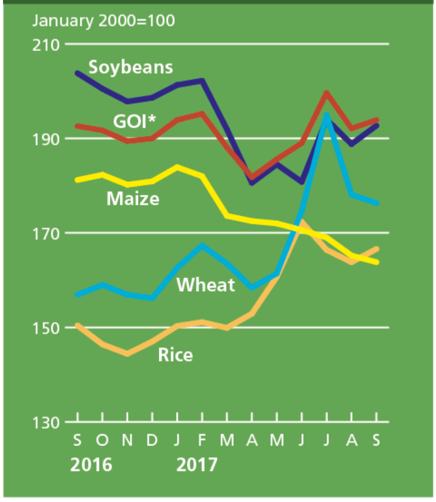
Rice

Reflecting thinner spot supplies in Asian exporters and firm underlying demand from a number of leading buyers, the IGC GOI rice sub-Index rose by 2 percent m/m, to a three-month peak. Gains were initially led by Thailand, where export availabilities tightened following earlier substantial disposals of state reserves, a sizeable portion of which were sold to African countries. Elsewhere, offers in Viet Nam moved higher more recently as continued good export interest underpinned, but markets in South Asia weakened in sometimes quiet activity. Outside of Asia, prospects for a heavy drop in production and a marked reduction in stocks continued to support US milled rice values.

Soybeans

The IGC GOI soybean sub-Index advanced by around 2 percent m/m, mostly tied to firmer export quotations in Brazil and Argentina, where underpinning came from heightened worries about less than ideal weather for 2017/18 planting. Strong international demand also buoyed sentiment, with Brazil's marketing year exports progressing robustly, while there was an uptick in buying interest for US new crop supplies. Although there were initial mild concerns about US Midwest crops, an upgraded official production forecast and early harvest reports pointing to strong yields capped overall gains.

IGC Commodity Price Indices

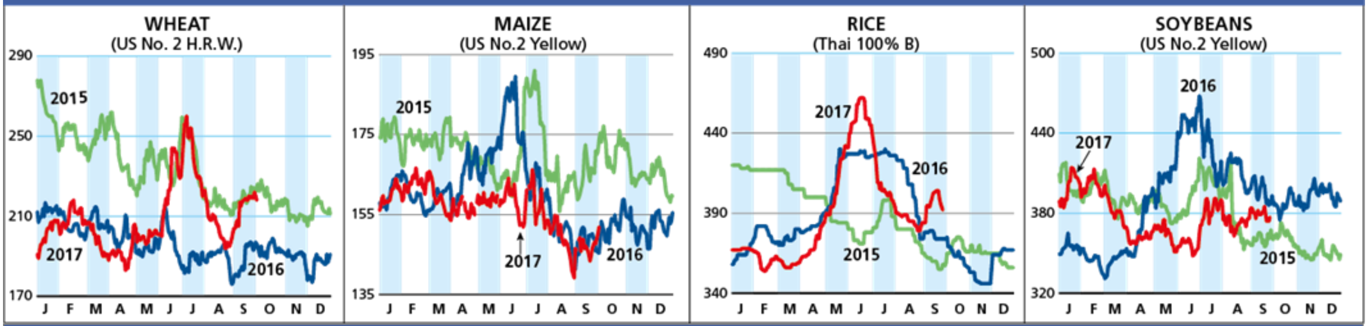


IGC commodity price indices

		GOI*	Wheat	Maize	Rice	Soybeans
		(.................January 2000 = 100				....................)
2016	September	**192.6**	156.9	181.2	150.4	203.8
	October	**191.7**	159.0	182.3	146.4	200.5
	November	**189.4**	156.9	180.2	144.4	197.8
	December	**190.0**	156.2	180.9	147.0	198.6
2017	January	**193.9**	162.6	183.9	150.3	201.3
	February	**195.2**	167.3	182.0	151.1	202.2
	March	**188.1**	163.5	173.6	149.9	191.9
	April	**181.8**	158.4	172.5	152.9	180.6
	May	**185.6**	161.4	172.0	160.7	184.5
	June	**189.0**	174.6	170.6	172.3	180.8
	July	**199.6**	194.9	169.0	166.4	194.0
	August	**192.1**	178.1	165.2	163.8	188.8
	September	**193.9**	176.3	163.8	166.6	192.7

Selected export prices, currencies and indices

Daily quotations of selected export prices (USD/tonne, 2015-2017)



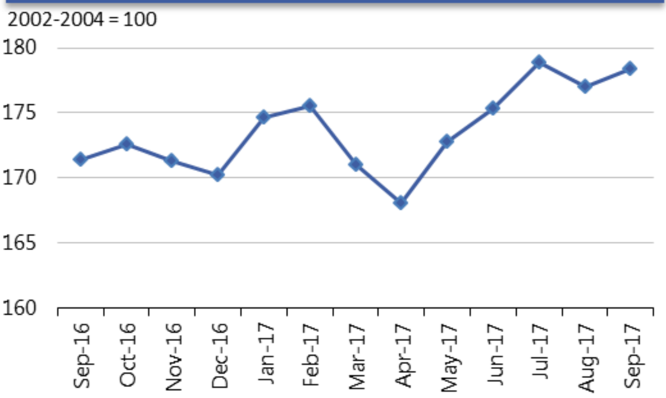
Daily quotations of selected export prices

	Effective Date	Quotation (1)	Week ago (2)	Month ago (3)	Year ago (4)	% change (1) over (2)	% change (1) over (4)
	(. . . .	USD/tonne	. . . .)				
Wheat (US No. 2, HRW)	29-Sep	218	219	197	196	-0.5%	11.2%
Maize (US No. 2, Yellow)	29-Sep	152	147	140	145	3.0%	4.4%
Rice (Thai 100% B)	29-Sep	392	404	379	375	-3.0%	4.5%
Soybeans (US No.2, Yellow)	29-Sep	377	385	373	388	-2.1%	-2.8%

AMIS Countries' Currencies Against US Dollar

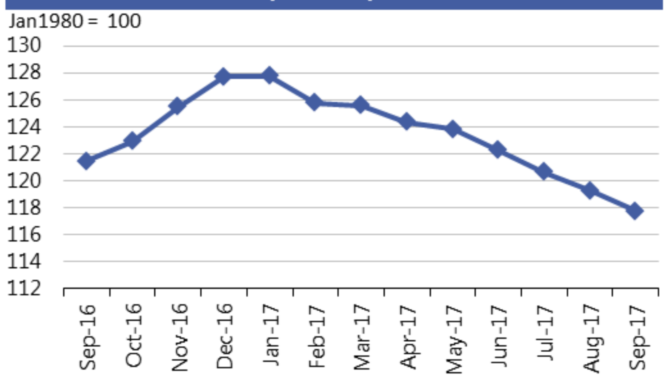
AMIS Countries	Currency	September 2017 Average	Monthly Change	Annual Change
Argentina	**ARS**	17.2	1.0%	-14.1%
Australia	**AUD**	1.3	0.6%	4.7%
Brazil	**BRL**	3.1	0.6%	3.6%
Canada	**CAD**	1.2	2.5%	6.1%
China	**CNY**	6.6	1.5%	1.6%
Egypt	**EGP**	17.6	0.5%	-98.5%
EU	**EUR**	0.8	0.7%	5.8%
India	**INR**	64.5	-0.8%	3.4%
Indonesia	**IDR**	13,305.1	0.3%	-1.5%
Japan	**JPY**	110.8	-0.9%	-8.8%
Kazakhstan	**KZT**	339.5	-1.8%	-0.4%
Rep. Korea	**KRW**	1,132.7	-0.2%	-2.2%
Mexico	**MXN**	17.8	-0.2%	7.1%
Nigeria	**NGN**	308.8	-0.3%	1.7%
Philippines	**PHP**	51.0	0.0%	-7.2%
Russian Fed.	**RUB**	57.7	3.0%	10.4%
Saudi Arabia	**SAR**	3.8	0.0%	0.0%
South Africa	**ZAR**	13.2	0.5%	6.1%
Thailand	**THB**	33.1	0.3%	4.5%
Turkey	**TRY**	3.5	0.8%	-17.1%
UK	**GBP**	0.8	2.7%	1.2%
Ukraine	**UAH**	26.2	-2.1%	0.2%
Viet Nam	**VND**	22,720.7	0.0%	-2.0%

FAO Food Price Index
Sep2016-Sep2017



Source: FAO

Nominal Broad Dollar Index
Sep2016-Sep2017



Source: US Federal Reserve

Futures markets

Futures Prices – nearby

	Sep-17 Average	% Change M/M	% Change Y/Y
Wheat	161	+1.9%	+11.8%
Maize	137	-1.5%	+5.8%
Rice	275	+1.2%	+29.7%
Soybeans	354	+2.4%	-0.6%

Source: CME

Historical Volatility – 30 Days, nearby

	Monthly Averages Sep-17	Aug-17	Sep-16
Wheat	27.5	32.2	29.4
Maize	23.0	27.8	22.6
Rice	16.0	17.9	33.4
Soybeans	16.8	23.3	21.4

Futures prices

Prices for wheat and soybeans were marginally higher m/m, while maize prices, despite a directional turnaround, were slightly lower. After reaching near term lows around the start of September, prices for all three commodities rose throughout the month, conforming to past years' patterns. Wheat appeared to find support by the slow pace of sowing in the Plains area as well as a persistent shortage of high protein hard red spring wheat, while maize and soybean prices may have been buoyed by a slow start to harvest and an increase in maize demand from China. Most analysts cited higher than expected yields and a slowing of exports for the crop year that began 1 September as limiting further upside. Additionally, some analysts forecast the possible change in the direction of the US dollar, which has been in a two-year downtrend. (Historically, a strengthening US dollar has been negative to commodity prices overall). Rice prices were 2 percent higher m/m but fell sharply at month end following a 5 month bull market that saw a 40 percent surge in values. Wheat and maize values remained 12 and 6 percent higher respectively y/y, while soybean prices were essentially unchanged.

Volumes and volatility

Trade volumes dropped considerably for wheat and maize m/m and only slightly for soybeans, exhibiting typical behavior for September – normally one of the lowest volume months of the year. Both historical and implied volatility declined somewhat for all three commodities as an ample supply situation became increasingly certain.

Basis levels and transport

Basis levels for maize and soybeans, which have remained soft in the interior for the entire past crop year, widened further into the harvest approach. In Illinois, the interior bids to local elevators dropped from minus USD 10 to minus USD 14 (per tonne) under the December futures for maize and dropped from minus USD 7 to minus USD 13 under the November futures prices for soybeans. In Iowa the bids were similarly weak at minus USD 20 for maize and minus USD 29 for soybeans (both under the respective December and November futures). Domestic soft red wheat values also declined. Basis levels for Gulf export delivery for wheat, maize and soybeans were about steady at USD 16, USD 20, and USD 17 all over their respective nearby futures. A 30 percent spike m/m in barge freight to USD 22 (Illinois River to Gulf quotation) due to low water conditions and lock closures on the Illinois and Ohio Rivers caused the export market to remain firm while interior levels declined. Export commitments for all three commodities lagged behind last year's pace which ended with record high US exports.

Forward curves

Forward curves for wheat, maize and soybean were about unchanged at seasonally wide levels with little expectation of narrowing as harvest projections were favourable. The low water levels along the Mississippi River and its tributaries - which translate into higher transport costs - could keep pressure on front end of the curves through winter particularly if replenishing rainfall does not materialize.

Investment flows

Managed money maintained its net short positions for wheat and maize m/m, although it trimmed those positions at month end. In soybeans, managed money completed its fifth zigzag for the year by switching from net short to a net long. Commercials maintained their short positions m/m, a logical strategy given the low basis levels and anticipated buying from producers, especially in storage deficit areas. In other news, Louis Dreyfus Corporation, one of the four major grain trading houses known collectively as the "ABCDs", announced the closure of its USD 1.4 billion commodity hedge fund by year end.

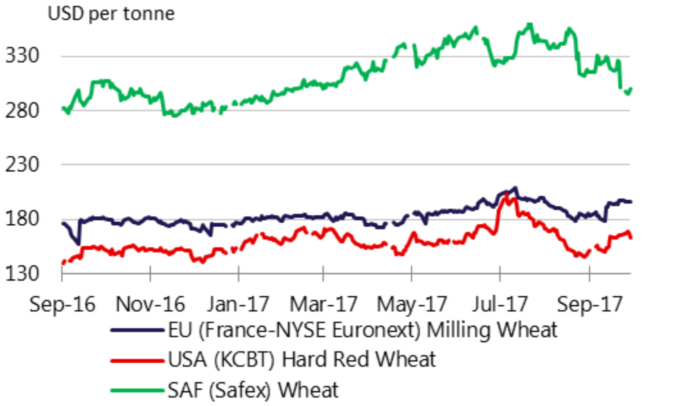
Glossary

For more information on technical terms please view the Glossary at the following link:
http://www.amis-outlook.org/fileadmin/user_upload/amis/docs/Market_monitor/Glossary.pdf

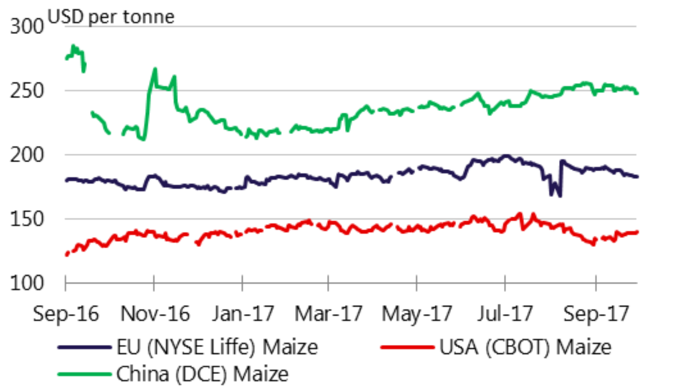
Market indicators

Daily quotations from leading exchanges - nearby futures

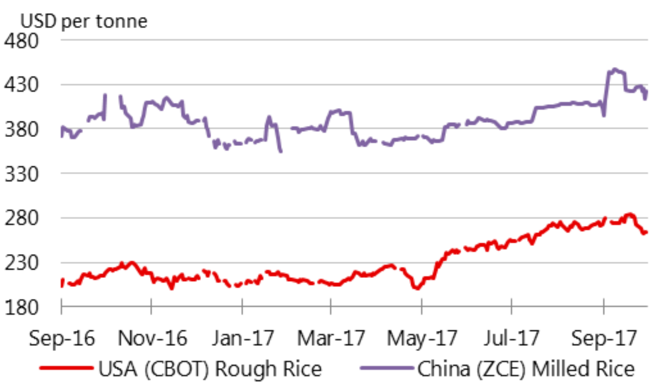
Wheat



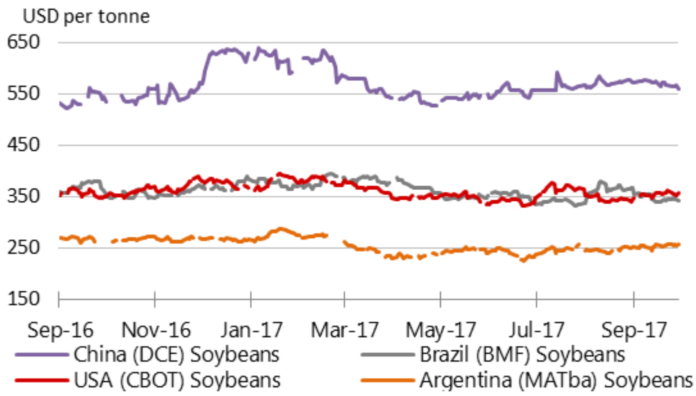
Maize



Rice

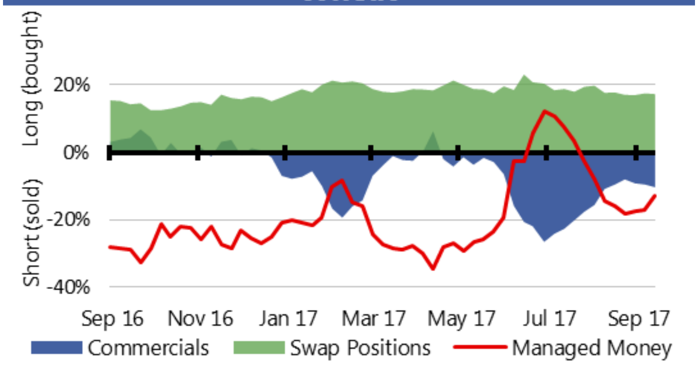


Soybeans

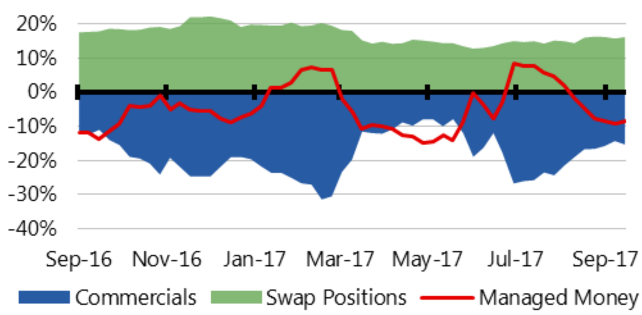


CFTC Commitments of Traders - Major Categories Net Length as percentage of Open Interest*

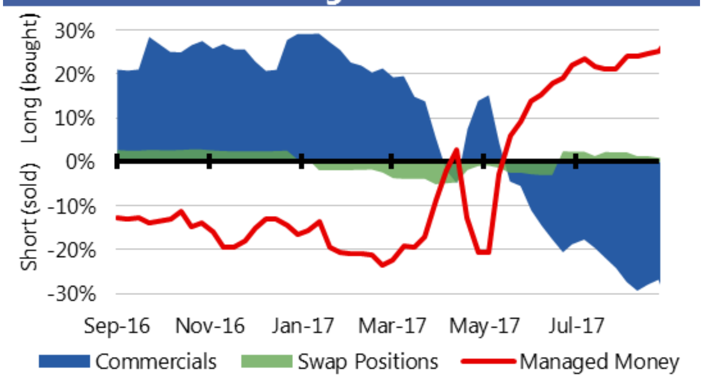
Wheat



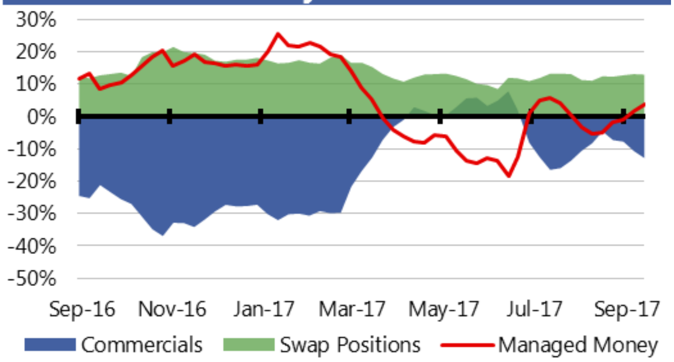
Maize



Rough Rice



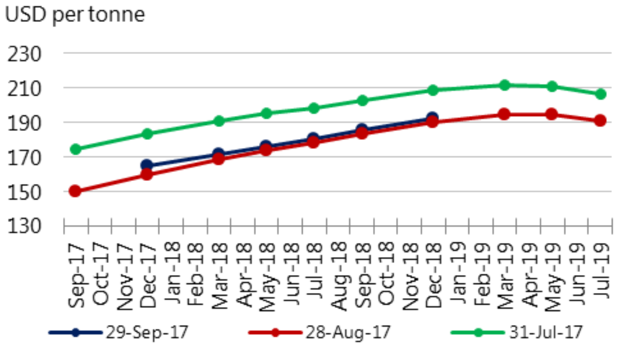
Soybeans



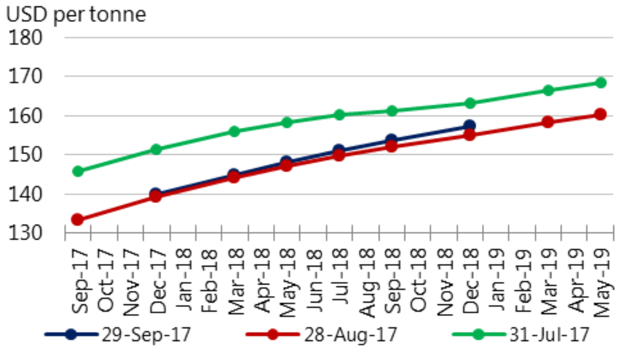
*Disaggregated Futures Only. Though not all positions are reflected in the charts, total long positions always equal total short positions.

Forward Curves

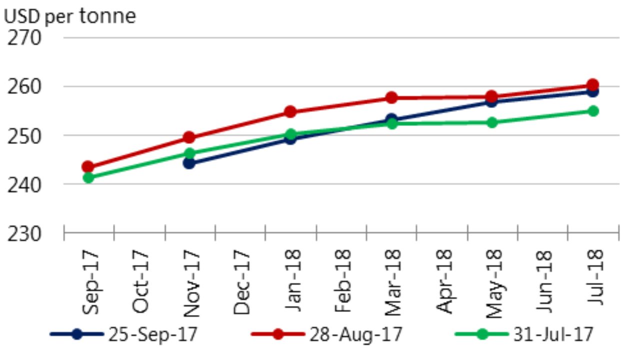
Wheat



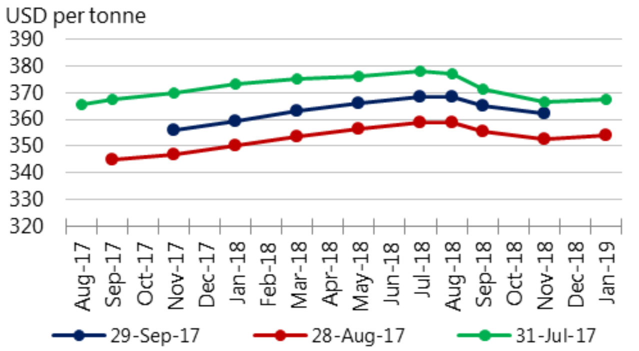
Maize



Rice

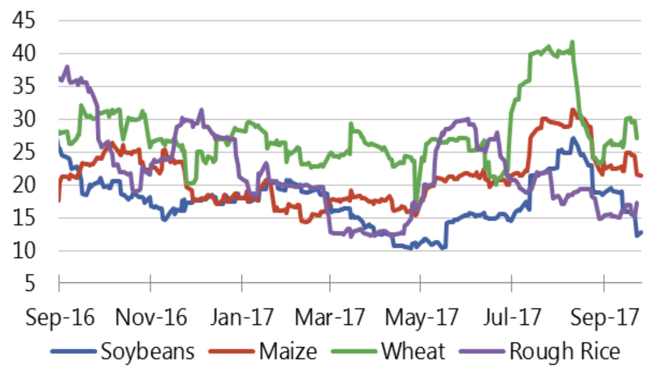


Soybeans

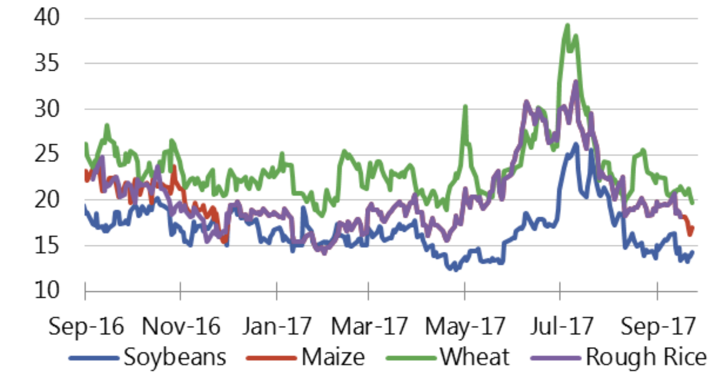


Historical and Implied Volatilities

Historical Volatility (30 days)



Implied Volatility (Daily)



AMIS Market indicators

Some of the indicators covered in this report are updated regularly on the AMIS website. These, as well as other market indicators, can be found at: http://www.amis-outlook.org/amis-monitoring/indicators/

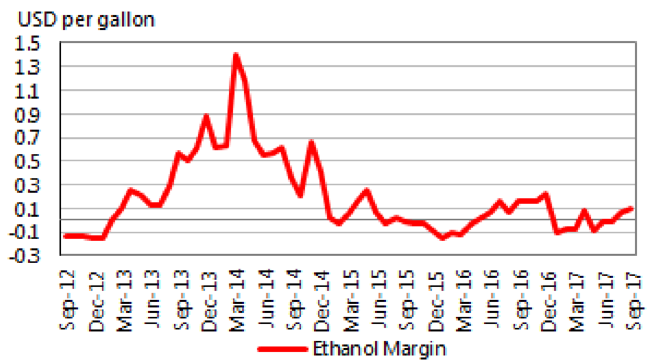
Monthly US ethanol update

- **Ethanol margins** increased in September due to lower maize costs.
- **Ethanol spot and nearby futures prices** were steady in September, despite increased RBOB gasoline prices resulting from Hurricane Harvey. Ethanol futures prices averaged 15 cents lower than gasoline.
- **Domestic maize prices** decreased during the month, leaving the average maize price USD 4.63 per tonne lower in September. Other production costs were unchanged.
- **DDGs prices** decreased USD 2.20 per tonne, and remained at a discount to domestic maize prices.
- **Ethanol production** decreased in September, with an annual pace of 15.9 billion gallons.

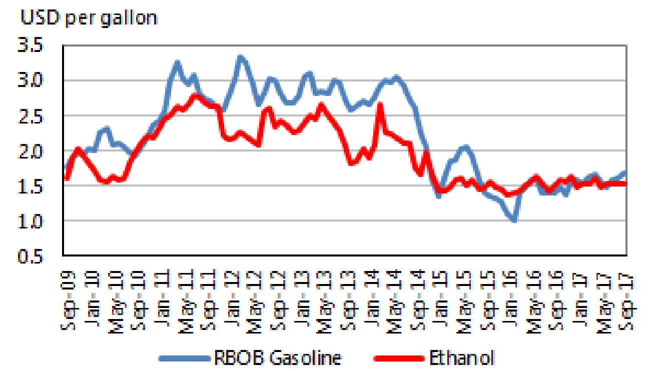
Spot prices IA, NE and IL/eastern *corn belt* average	**Sep 2017***	**Aug 2017**	**Sep 2016**
Maize price (USD per tonne)	127.73	132.36	122.88
DDGs (USD per tonne)	107.58	109.78	119.29
Ethanol price (USD per gallon)	1.50	1.50	1.45
Nearby futures prices CME, NYSE			
Ethanol (USD per gallon)	1.53	1.53	1.49
RBOB Gasoline (USD per gallon)	1.68	1.62	1.40
Ethanol/RBOB price ratio	91.3%	94.4%	106.9%
Ethanol margins IA, NE and IL/eastern *corn belt* Average (USD per gallon)			
Ethanol receipts	1.50	1.50	1.45
DDGs receipts	0.33	0.34	0.37
Maize costs	1.18	1.22	1.11
Other costs	0.55	0.55	0.55
Production margin	0.11	0.07	0.16
Ethanol production (million gallons)			
Monthly production total	1 305	1 375	1 255
Annualized production pace	15 872	16 193	15 267

Based on USDA data and private sources
* Estimated using available weekly data to date.

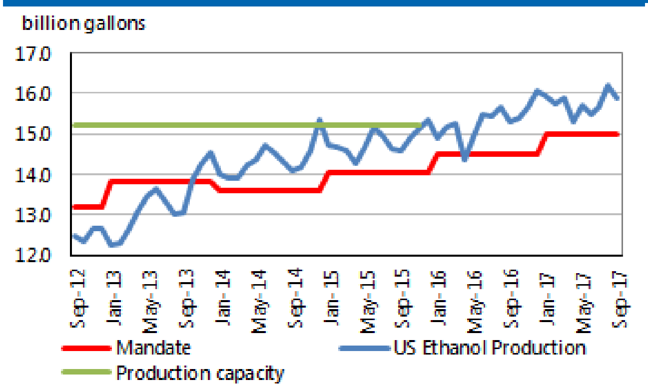
Ethanol Production Margin
(IA, NE, IL/eastern corn belt average)



Ethanol and RBOB gasoline
(nearby futures prices, CME, NYSE)



Ethanol production pace, capacity and annual mandate



Ethanol price vs. maize price
(Spot prices)

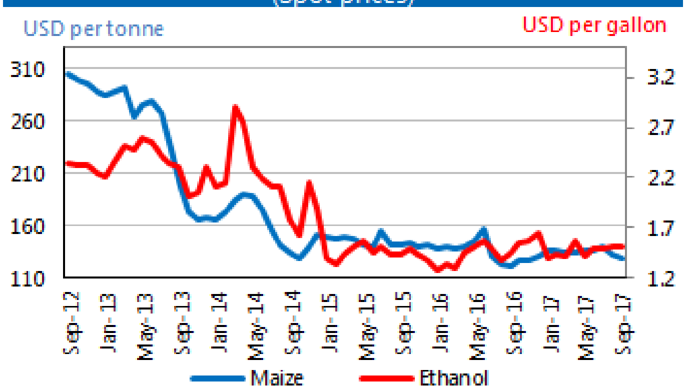


Chart and tables description

Ethanol Production Margins: The ethanol margin gives an indication of the profitability of maize-based ethanol production in the United States. It uses current market prices for maize, Dried Distillers Grains (DDGs) and ethanol, with an additional USD 0.55 per gallon of production costs

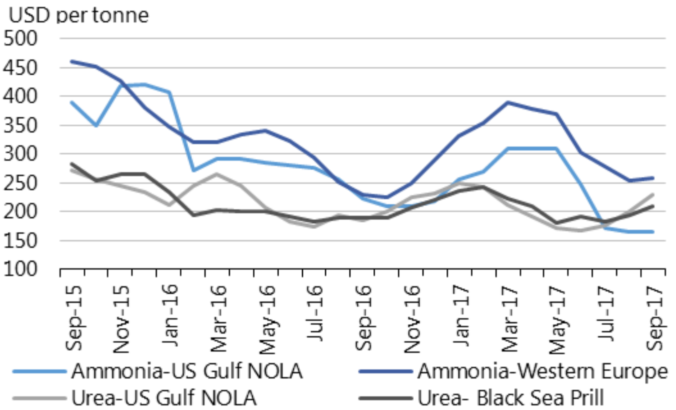
Ethanol Production Pace, Capacity and Mandate: Overview of the volume of maize-based ethanol production in the United States; it also highlights overall production capacity and the production volume that is mandated by public legislation. Name-plate (i.e. nominal) ethanol production capacity in the US is roughly 14.9 billion gallons per annum, but plants can exceed this level, so the actual capacity is assumed to be 15.2 billion gallons.

DDGs: By-product of maize-based biofuel production, commonly used as feedstuff.

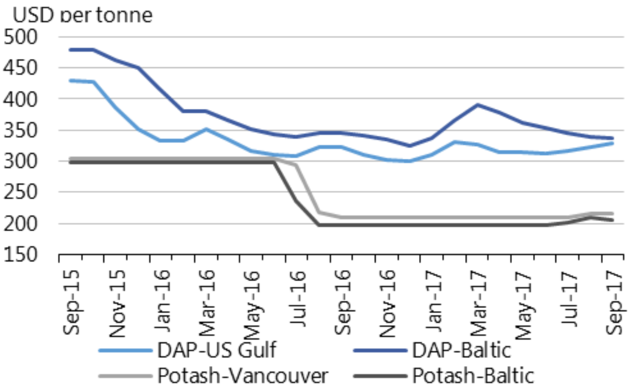
RBOB: Reformulated Blendstock for Oxygenate Blending, gasoline nearby futures (NYSE).

Fertilizer outlook

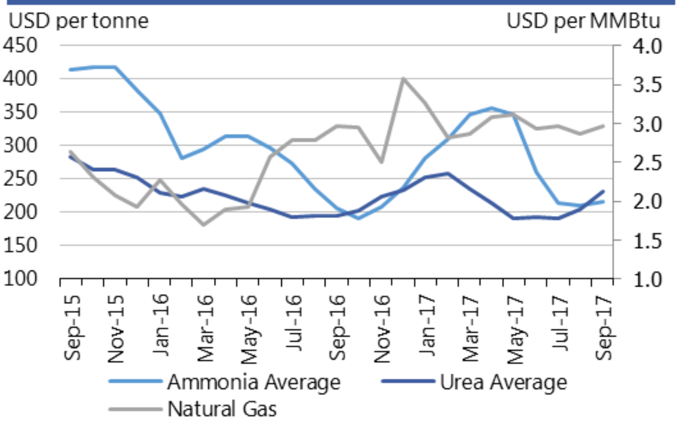
Ammonia and Urea
(Spot prices)



Potash and Phosphate
(Spot prices)



Ammonia Average, Urea Average and Natural Gas
(Spot prices)



- Average **ammonia** prices remain relatively steady, although a general supply contraction, due to seasonal maintenance of several major plants, has caused a slowdown in the market.
- **Urea** prices rose m/m due to stronger demand from India and lower exports from China.
- **DAP** prices increased slightly in the US due to Hurricane Irma, which temporarily stopped production. Oversupply in other regions pushed prices marginally downward outside the US.
- Despite a global oversupply, **potash** prices changed little m/m due to a slight increase in end-user post-harvest demand in the Western Hemisphere in recent weeks.
- **Natural gas** m/m prices increased slightly due to Hurricane Irma's disruption of the US energy market, although US production continues to increase.

Region	September average	September std. dev	% change last month*	% change last year*	12-month high	12-month low
Ammonia-US Gulf NOLA	165.0	-	0.0%	-25.8%	310.0	165.0
Ammonia-Western Europe	258.8	2.5	2.0%	13.0%	390.0	225.0
Urea-US Gulf	228.8	24.6	14.4%	23.1%	249.8	166.8
Urea-Black Sea	210.5	25.0	8.5%	11.3%	241.8	181.3
DAP-US Gulf	328.3	8.9	1.5%	1.8%	331.8	300.0
DAP-Baltic	337.5	5.0	-0.7%	-2.2%	390.0	325.0
Potash-Baltic	206.0	-	-1.4%	4.0%	209.0	198.0
Potash-Vancouver	216.0	-	0.0%	3.3%	216.0	209.0
Ammonia	215.6	1.3	2.7%	4.5%	355.6	191.3
Urea	231.9	22.6	12.9%	18.7%	257.5	192.0
Natural Gas	3.0	0.1	3.4%	0.1%	3.6	2.5

All prices shown are in US dollars
Source: Own elaboration based on Bloomberg

Chart and tables description

Ammonia and Urea: Overview of nitrogen-based fertilizer prices in the US Gulf, Western Europe and Black Sea. Prices are weekly prices averaged by month. Potash and Phosphate: Overview of phosphate and potassium-based fertilizer prices in the US Gulf, Baltic and Vancouver. Prices are weekly prices averaged by month. Ammonia Average and Urea Average: Monthly average prices from Ammonia's US Gulf NOLA, Middle East, Black Sea and Western Europe were averaged to obtain Ammonia Average prices; monthly average prices from Urea's US Gulf NOLA, US GUlf Prill, Middle East Prill, Black Sea Prill and Mediterranean were averaged to obtain Urea Average prices. Natural Gas: Henry Hub Natural Gas Spot Price from ICE. Prices are intraday prices averaged by month. Natural gas is used as major input to produce nitrogen-based fertilizers. DAP: Diammonium Phosphate.

Explanatory Notes

The notions of **tightening** and **easing** used in the summary table of **"World Supply and Demand"** reflect judgmental views which take into account market fundamentals, inter-alia price developments and short-term trends in demand and supply, especially changes in stocks.

All totals (aggregates) are computed from unrounded data. World supply and demand estimates/forecasts in this report are based on the latest data published by FAO, IGC and USDA; for the former, they also take into account information received from AMIS countries (hence the notion **"FAO-AMIS"**). World estimates and forecasts may vary due to several reasons. Apart from different release dates, the three main sources may apply different methodologies to construct the elements of the balances. Specifically:

Production: For wheat, production data refer to the first year of the marketing season shown (e.g. the 2016 production is allocated to the 2016/17 marketing season). For maize and rice, FAO-AMIS production data refer to the season corresponding to the first year shown, as for wheat. However, in the case of rice, 2016 production also includes secondary crops gathered in 2017. By contrast, for rice and maize, USDA and IGC aggregate production of the northern hemisphere of the first year (e.g. 2016) with production of the southern hemisphere of the second year (2017 production) in the corresponding 2016/17 global marketing season. For soybeans, this latter method is used by all three sources.

Supply: Defined as production plus opening stocks. No major differences across sources.

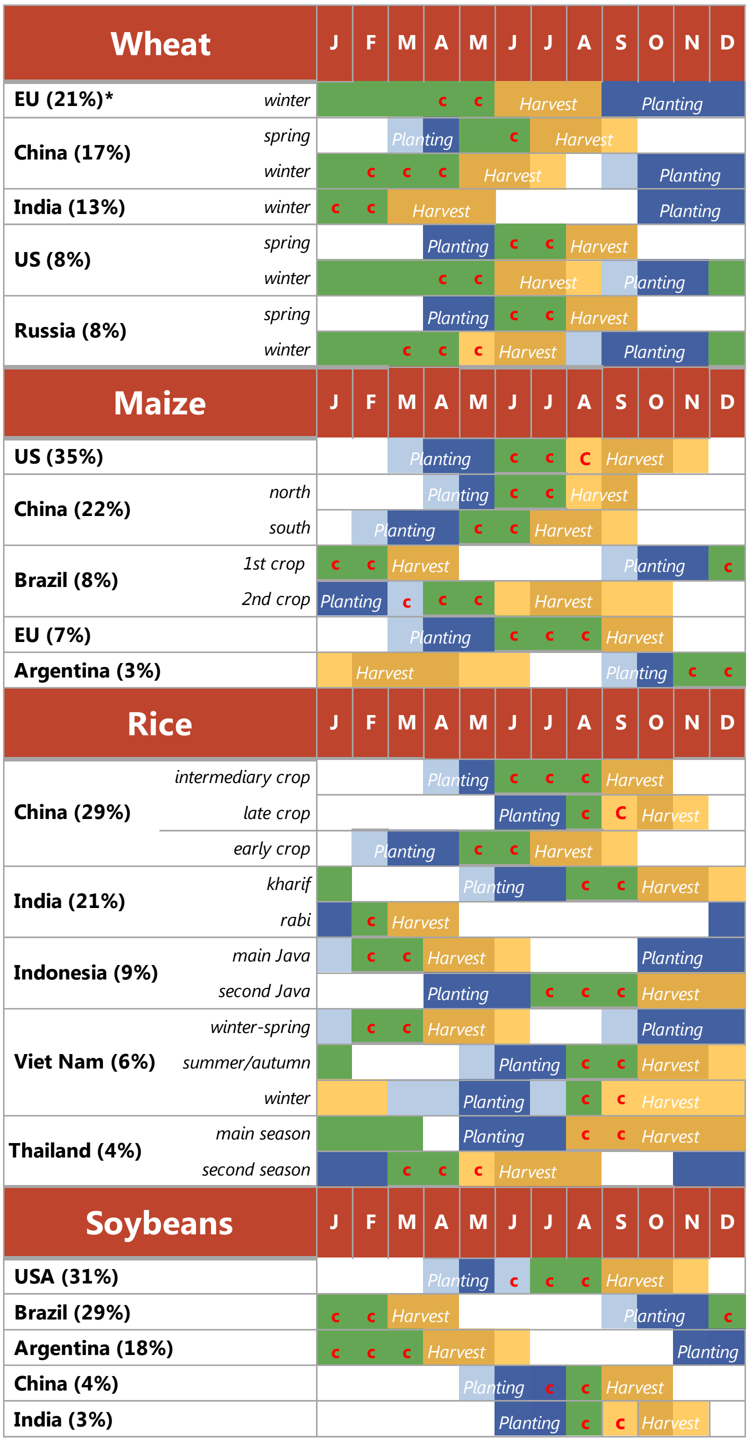
Utilization: For wheat, maize and rice, utilization includes food, feed and other uses ("other uses" comprise seeds, industrial utilization and post-harvest losses). For soybeans, it comprises crush, food and other uses. No major differences across sources.

Trade: Data refer to exports. For wheat and maize, trade is reported on a July/June marketing year basis, except for the USDA maize trade estimates, which are reported on an October/September basis. FAO-AMIS and IGC wheat trade data includes wheat flour in wheat grain equivalent. USDA wheat trade data also includes wheat products. For rice, trade covers flows from January to December of the second year shown, and for soybeans from October to September. Trade between European Union member states is excluded.

Stocks: In general, stocks refer to the sum of carry-overs at the close of each country's national marketing year. In the case of maize and rice, in southern hemisphere countries the definition of the national marketing year is not the same across the three sources as it depends on the methodology chosen to allocate production. For Soybeans, the USDA world stock level is based on an aggregate of stock levels as of 31 August for all countries, coinciding with the end of the US marketing season. By contrast, the IGC and FAO-AMIS measure of world stocks is the sum of carry-overs at the close of each country's national marketing year.

AMIS - GEOGLAM Crop Calendar

Selected leading poducers



* *Percentages refer to the global share of production (average 2013-15).*

Planting (peak) | Harvest (peak)

Planting | Harvest

c Weather conditions in this period are critical for yields. | Growing period

Main sources

Bloomberg, CFTC, CME Group, FAO, GEOGLAM, IFPRI, IGC, Reuters, USDA, US Federal Reserve

2017 AMIS Market Monitor Release Dates

February 2, March 2, April 6, May 4, June 8, July 6, September 7, October 5, November 2, December 7

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